

14.	25PR0273	IN THE MATTER OF DONENE VUKOVICH
PETITION HEARING		

ON THE COURT'S OWN MOTION DUE TO LACK OF JUDICIAL COVERAGE, THE COURT WILL HEAR THIS MATTER ON AUGUST 31, 2026, AT 8:30 A.M. IN DEPARTMENT NINE. THERE WILL BE NO HEARING ON AUGUST 10, 2026.

Before the Court are two motions: 1) Petition to Determine Entitlement to Assets of the Vukovich Family Trust; and 2) Petition for 1) Breach of Trust; 2) Surcharge Against Trustees; 3) Removal of Trustees; 4) Recovery of Trust Property and Double Damages for Bad Faith Wrongful Taking; and 5) Compel Information, Books, Records, and Supporting Documentation.

Background

The Vukovich Family Trust (the "Trust") was created by Melvin Vukovich ("Melvin") and Ayriane Vukovich ("Ayriane") on February 28, 1994. The Trust was amended and restated numerous times. The Third Amendment revoked the First and Second Amendments.

Paragraph 10(B) of the Trust instructs (emphasis added):

B. The interests of any beneficiary in the principal or income of a trust estate shall not be sold, pledged, encumbered, assigned, hypothecated or in any way alienated by any beneficiary prior to its actual receipt by the beneficiary, and such interest shall be immune from seizure or control of creditors of such beneficiary or of creditors of any spouse of any married beneficiary or of creditors of others. Neither the income nor the principal of the trust estate shall be subject to attachment, garnishment, or claims, through bankruptcy or otherwise, nor be subject to judgment of any court or proceedings in aid of execution thereto before actual receipt by the beneficiary.

Paragraph Two of the Third Amendment provides (emphasis added):

Paragraph Six, Subparagraph C of the Declaration of Trust is amended to read as follows:

C. The Trustee shall distribute the remaining trust estate, and any property received pursuant to the surviving spouse's Will or otherwise, in equal shares to the Settlor's, children, AIMEE L. VUKOVICH, CLAUDIA M. VUKOVICH-PAREDES, MILAN VUKOVICH, and TROY VUKOVICH, by right of representation, except that the share for MILAN VUKOVICH shall be reduced by Forty-Five Thousand Dollars (\$45,000.00) and allocated equally among the other shares. The share of any of the Settlor's children who does not survive the surviving spouse, and leaves no living issue, shall be allocated equally to the other shares created pursuant to this Subparagraph C.

For purposes of this Declaration of Trust, if any person named herein fails to survive for thirty (30) days following the date of the death of the beneficiary whose death gave rise to that person's having a present interest in a trust, that person shall be deemed to have predeceased that beneficiary.

Melvin passed away on October 6, 2005, and Aryiane passed away on August 22, 2022. Melvin and Aryiane were survived by four children: Aimee, Claudia, Milan, Troy, and Gregory. Pursuant to Paragraph Three of the Third Amendment, Troy was appointed as Co-Trustee and was given the authority to appoint a Successor Co-Trustee should Aryiane be unable to act as Co-Trustee. Upon Aryiane's death, Troy appointed Aimee to serve as Successor Co-Trustee in September 2022.

Although Milan survived Aryiane, he passed away on May 18, 2025. Milan was survived by Demetria Vukovich, Alexa Vukovich, Alex's son Phelan Kirk, and spouse Donene Vukovich. Prior to Milan's death, he and Donene established the Milan Vukovich and Donene Nichelle Vukovich Revocable Family Trust ("Milan's Trust"). Milan also executed a pour over will devising his estate to Milan's Trust.

Petition to Determine Entitlement to Assets of the Vukovich Family Trust

Petitioner, Demetria Vukovich ("Demetria"), seeks an order from the Court confirming Milan's separate property inheritance to be received from the Trust should be distributed according to the laws of intestacy, which would include distribution to his spouse and his children.

Demetria argues that Milan did not receive his distribution from the Trust prior to his death. Although his interest in the Trust vested, it was not distributed to him and was subject to the provisions in Paragraph Ten, subparagraph (B) which provides that the interests of any beneficiary shall not be "sold, pledged, encumbered, assigned, hypothecated or in any way alienated by any beneficiary prior to its actual receipt by the beneficiary..." As such, Milan did not have the ability to direct the distribution of his inheritance through a will or assignment of interest to a trust since he did not receive the distribution prior to his death. Accordingly, the laws of intestate succession apply.

Except as provided in subdivision (b), the share in a decedent's estate of a beneficiary who survives the decedent but who dies before distribution shall be distributed under this chapter with the same effect as though the distribution were made to the beneficiary while living. Probate Code § 11801.

Probate Code § 21102 instructs that:

- (a) The intention of the transferor as expressed in the instrument controls the legal effect of the dispositions made in the instrument.

(b) The rules of construction in this part apply where the intention of the transferor is not indicated by the instrument.

(c) Nothing in this section limits the use of extrinsic evidence, to the extent otherwise authorized by law, to determine the intention of the transferor.

All parts of an instrument are to be construed in relation to each other and so as, if possible, to form a consistent whole. If the meaning of any part of an instrument is ambiguous or doubtful, it may be explained by any reference to or recital of that part in another part of the instrument. Probate Code § 21121.

Demetria's reliance on Paragraph Ten, subparagraph (B) (i.e., the "spendthrift clause") is unavailing. Considering the Trust as a whole, the Court finds that the Settlor intended their children receive the distribution of the trust estate so long as they survive the surviving settlor by 30 days. The Trust does not contain any provision requiring a beneficiary to survive until the receipt of distribution. The spendthrift clause was meant to protect their children's interest against third-party creditors. Nothing in the spendthrift clause evidences an intent to prevent a vested beneficial interest from passing by operation of law upon the beneficiary's death.

The Court finds that Milan's vested distribution from the Trust was properly devised to Milan's Trust and his pour over will. Accordingly, Demetria's request is denied.

Petition for 1) Breach of Trust; 2) Surcharge Against Trustees; 3) Removal of Trustees; 4) Recovery of Trust Property and Double Damages for Bad Faith Wrongful Taking; and 5) Compel Information, Books, Records, and Supporting Documentation

Petitioner, Donene ("Donene"), is the surviving spouse of Milan Vukovich and Trustee of Milan's Trust. Donene alleges that following Milan's death, his vested beneficial interest in the Trust passed to Milan's Trust, of which she is the acting trustee and successor-in-interest. As such, Petitioner asserts that she is entitled to enforce the fiduciary obligations owed by Respondents in connection with the administration of the trust estate.

Donene argues that Respondents, Troy Vukovich and Aimee L. Vukovich (collectively "Respondents"), failed to provide any formal accounting for years until compelled to do so through court proceedings initiated by her. Additionally, Respondents failed to complete administration or distribute the remaining trust estate over three years after Ayriane's death. Donene contends that during this time, Respondents caused the Trust to incur substantial expenditures relating to parcel merges, lot-line adjustments, surveying, title work, county approvals, and related property work over an extended period of time.

Donene believes that Respondents used the exploration of subdivision and development opportunities as justification for prolonging administration of the trust estate, retaining control over assets, delaying liquidation and distribution, and continuing to charge substantial ongoing expenditures to the Trust. As a result of Respondents' conduct, the trust estate incurred

substantial unnecessary expenditures, depletion of liquid assets, carrying costs, and other damages to be proven at trial.

Donene further asserts that the accounting produced by Respondents reveals extensive insider transactions and non-arm's length dealings which benefited Respondents as opposed to the Trust. Donene is under the information and belief that one or more Respondents and/or related family members occupied the property located at 3301 Meder Road in Shingle Springs, which accumulated substantial recurring expenditures while receiving rental income in the amount of \$400-\$500/month.

Additionally, Donene contends that the accounting reflects numerous personal, family, and discretionary expenditures were improperly charged to the trust and that Respondents failed to segregate legitimate trust administration expenses from personal or family expenses. The accounting itself is inadequate, as it contains numerous vague, conclusory and inadequately documented entries.

Further, Donene alleges that Respondents have failed to produce the underlying financial records necessary to permit beneficiaries to meaningfully evaluate the propriety of Respondents' conduct and the accuracy of the accounting and requests the Court compel Respondents to produce all supporting books, records, and financial documentation relating to the administration of the trust estate.

Donene seeks removal of Respondents as Trustees for breaching their fiduciary duties and to ensure the remaining trust assets are protected while completing the trust administration. Donene seeks recovery under Probate Code § 850 of all trust property funds, expenditures, benefits, use value, and other assets wrongfully taken, used, retained, transferred or disposed of by Respondents, as well as double damages pursuant to Probate Code § 859.

The Court orders all Parties to appear at the hearing on August 31, 2026, at 8:30 a.m. in department nine.

TENTATIVE RULING #14:

1. **PETITION TO DETERMINE ENTITLEMENT TO ASSETS OF THE VUKOVICH FAMILY TRUST**
PETITIONER DEMETRIA VUKOVICH'S REQUEST IS DENIED.
2. **PETITION FOR 1) BREACH OF TRUST; 2) SURCHARGE AGAINST TRUSTEES; 3) REMOVAL OF TRUSTEES; 4) RECOVERY OF TRUST PROPERTY AND DOUBLE DAMAGES FOR BAD FAITH WRONGFUL TAKING; and 5) COMPEL INFORMATION, BOOKS, RECORDS, AND SUPPORTING DOCUMENTATION**

APPEARANCES ARE REQUIRED AT 8:30 A.M. ON MONDAY, AUGUST 31, 2026, IN DEPARTMENT NINE.

August 10, 2026
Dept. 9
Probate Tentative Rulings

**IF A PARTY OR PARTIES WISH TO APPEAR BY ZOOM, PLEASE CONTACT THE COURT AT
(530) 621-5867 AND MEETING INFORMATION WILL BE PROVIDED.**